

Annual Financial Statements for the year ended 31 December 2021

Statement of Financial Position as at 31 December 2021

Figures in Rand	Note	2021	2020
Assets			
Non-Current Assets			
Investment in associate	3	18 723 497	16 918 630
Current Assets			
Loan to group company	5	78 080	78 080
Trade and other receivables		155 428	155 428
Cash and cash equivalents	6	2 698 875	2 610 394
		2 932 383	2 843 902
Total Assets		21 655 880	19 762 532
Equity and Liabilities			
Equity			
Share capital	7	100	100
Reserves		3 798 407	3 798 407
Retained income		17 857 373	15 964 025
Total Equity		21 655 880	19 762 532

Statement of Profit or Loss and Other Comprehensive Income

Figures in Rand	Note	2021	2020
Donations received		94 000	300 000
Bank charges		(5 519)	(6 320)
Other operating expenses		-	(611)
Operating profit	8	88 481	293 069
Income from equity accounted investments		1 804 867	2 739 061
Profit before taxation		1 893 348	3 032 130
Taxation	9	-	-
Profit for the year		1 893 348	3 032 130
Other comprehensive income		-	-
Total comprehensive income for the year		1 893 348	3 032 130

Statement of Changes in Equity

	Share capital	Other reserves - capital contribution	Retained income	Total equity
Figures in Rand				
Balance at 01 January 2020	100	3 798 407	13 431 895	17 230 402
Profit for the year	-	-	3 032 130	3 032 130
Other comprehensive income	-	-	-	-
Total comprehensive income for the year	-	-	3 032 130	3 032 130
Dividends	-	-	(500 000)	(500 000)
Total contributions by and distributions to owners of company recognised directly in equity	-	-	(500 000)	(500 000)
Balance at 01 January 2021	100	3 798 407	15 964 025	19 762 532
Profit for the year	-	-	1 893 348	1 893 348
Other comprehensive income	-	-	-	-
Total comprehensive income for the year	-	-	1 893 348	1 893 348
Balance at 31 December 2021	100	3 798 407	17 857 373	21 655 880
Note	7			

Statement of Cash Flows

Figures in Rand	Note	2021	2020
Cash flows from operating activities			
Cash utilised in operations	10	(5 519)	(162 359)
Dividends paid		-	(500 000)
Net cash utilised in operating activities		(5 519)	(662 359)
Cash flows from investing activities			
Cash advanced in loans to group companies	5	-	(78 080)
Cash flows from financing activities			
Donations received		94 000	300 000
Total cash and cash equivalents movement for the year		88 481	(440 439)
Cash and cash equivalents at the beginning of the year		2 610 394	3 050 833
Cash and cash equivalents at the end of the year	6	2 698 875	2 610 394

Notes to the Annual Financial Statements

Figures in Rand

2. New Standards and Interpretations

2.1 Standards and interpretations effective and adopted in the current year

The accounting policies applied are consistent with those applied in the prior financial year. No new or amended IFRS Accounting Standards became effective for the current reporting period that were relevant to the company or had a material impact on the company's financial statements. Furthermore, the company did not early adopt any new or amended standards during the current period.

Other amendments to standards effective for annual periods beginning on or after 01 January 2020, which have not been specifically noted, are not expected to have a material impact on the company's recognised assets, liabilities, or financial disclosures in the current or future periods.

3. Investment in associate

Name of company	% ownership interest 2021	% ownership interest 2020	Carrying amount 2021	Carrying amount 2020
	24.02 %	24.02 %	18 723 497	16 918 630

The associate is incorporated and operates in , and its principal activities is selling and distribution of fuel measurement and fuel management equipment and systems.

Summarised financial information of material associates

Summarised Statement of Profit or Loss and Other Comprehensive Income

	2021	2020
Revenue	53 671 643	122 696 983
Other expenses	27 010 196	47 721 800
Profit before taxation	9 463 264	16 119 951
Tax expense	(1 949 246)	(4 716 697)
Profit from continuing operations	7 514 018	11 403 254
Total comprehensive income	7 514 018	11 403 254

Summarised Statement of Financial Position

	2021	2020
Assets		
Non-current	8 730 110	13 255 474
Current	59 157 330	55 495 979
Total assets	67 887 440	68 751 453
Liabilities		
Non-current	-	196 237
Current	27 139 747	35 321 541
Total liabilities	27 139 747	35 517 778
Total net assets	40 747 693	33 233 675

Notes to the Annual Financial Statements

4. Derivative financial assets

4.1. Call option over 4.9% equity interest in [REDACTED]

The Company holds a call option over a 4.9% equity interest in [REDACTED] ([REDACTED]). The option was granted in 2013 and remains outstanding as at 31 December 2021.

At 31 December 2020, the option's fair value was assessed at Rnil (2020: Rnil). The option remains significantly out of the money due to:

- substantial accumulated preference share liability (closing balance at R15 907 055);
- declining equity value of the underlying [REDACTED] shares, interpolated at R4 112 689 as at year-end;
- absence of dividends post-2018, therefore no dividends have been declared from 2019 to 2021; and
- continuing operating losses incurred by [REDACTED].

Fair value

The fair value measurement of the call option has been classified within Level 3 of the fair value hierarchy. This classification reflects the use of significant unobservable inputs in the valuation process, refer to note 13 for further details.

Financial risk management

- No exposure to market price movements as the intrinsic value remains negative.
- No credit risk or liquidity risk exposure exists as no settlement obligation exists unless exercised.

4.2. Call Option over 24.02% Equity Interest in [REDACTED]

In the prior financial years the Company previously held a call option over a 24.02% equity interest in [REDACTED] (Transit). The option was exercised on 28 September 2018, upon full settlement of the associated preference share loan, and was derecognised in the 2018 financial period.

Upon exercise, the carrying amount of the derivative financial asset was derecognised and the resulting investment in associate was recognised at fair value on that date. No derivative financial asset remains outstanding in respect of this option as at 31 December 2021 (2020: Rnil).

	2021	2020
5. Loan to group company		
[REDACTED]	78 080	78 080
Split between non-current and current portions		
Current assets	78 080	78 080
6. Cash and cash equivalents		
Cash and cash equivalents consist of:		
Bank balances	2 698 875	2 610 394
7. Share capital		
Authorised		
1 000 Ordinary shares of R1 each	1 000	1 000
Issued		
100 Ordinary shares of R1 each	100	100

Notes to the Annual Financial Statements

Figures in Rand

2021

2020

8. Operating loss

Operating profit for the year is stated after charging the following, amongst others:

Auditor's remuneration - external

Audit fees	-	150
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Bank charges

5 519	6 931
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Other expenses

-	611
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9. Taxation

Major components of the tax expense

Reconciliation of the tax expense

Reconciliation between accounting profit and tax expense.

Accounting profit	1 893 348	3 032 130
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Tax at the applicable tax rate of 28% (2020: 28%)	530 137	848 996
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Tax effect of adjustments on taxable income

Exempt income	(531 682)	(850 937)
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Non-deductible expenses	1 545	1 941
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10. Cash utilised in operations

Profit before taxation	1 893 348	3 032 130
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Adjustments for:

Income from equity accounted investments	(1 804 867)	(2 739 061)
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Donations received	(94 000)	(300 000)
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Changes in working capital:

Increase in trade and other receivables	-	(155 428)
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(5 519)	(162 359)
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11. Related parties

Relationships

Controlling party

Shareholder

Investments

Associates

Related party balances

Loan accounts - Owing (to) by related parties

78 080	78 080
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Notes to the Annual Financial Statements

Figures in Rand

11. Related parties (continued)

Related party transactions

Dividends paid

- 500 000

Donations received

94 000 300 000

Income from equity accounted investments

1 804 867 2 739 062

12. Directors' emoluments

No emoluments were paid to the directors or any individuals holding a prescribed office during the year.

13. Financial instruments and risk management

Categories of financial instruments

Categories of financial assets

2021

	Note	Amortised cost	Total
Loan to group company	5	78 080	78 080
Trade and other receivables		155 428	155 428
Cash and cash equivalents	6	2 698 875	2 698 875
		2 932 383	2 932 383

2020

	Note	Amortised cost	Total
Loans to group companies	5	78 080	78 080
Trade and other receivables		155 428	155 428
Cash and cash equivalents	6	2 610 394	2 610 394
		2 843 902	2 843 902

Due to the short term nature of the financial instruments disclosed above, amortised cost approximates fair value.

Capital risk management

The company's objective when managing capital (which includes share capital, borrowings, working capital and cash and cash equivalents) is to maintain a flexible capital structure that reduces the cost of capital to an acceptable level of risk and to safeguard the company's ability to continue as a going concern while taking advantage of strategic opportunities in order to maximise stakeholder returns sustainably.

Cash and cash equivalents	6	(2 698 875)	(2 610 394)
Equity		21 655 880	19 762 532
Gearing ratio		(12)%	(13)%